

FROM AGREEMENT TO IMPLEMENTATION: DCFTA, FDI, AND THE COMPETITIVENESS OF GEORGIAN REGIONS CASE OF DMANISI, KVEMO KARTLI

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ABSTRACT

The Deep and Comprehensive Free Trade Area (DCFTA), established under the EU–Georgia Association Agreement, has created both opportunities and structural challenges for Georgian economic integration with Europe. While the framework provides tariff-free access, regulatory alignment, and enhanced foreign investment prospects, effective implementation at the regional and municipal level remains uneven. This article examines the specific case of Kvemo Kartli, with a focus on Dmanisi municipality, highlighting its untapped potential in agriculture, wine production, artisanal goods, and cultural heritage. Drawing on official FDI statistics, ENPARD programme reports, and USAID initiatives, the study identifies persistent barriers such as fragmented land ownership, insufficient infrastructure, weak certification and laboratory capacities, and limited SME access to finance. Despite these challenges, Dmanisi's strategic location, unique archaeological heritage, and favorable agro-climatic conditions position it as a potential beneficiary of DCFTA-led growth, especially in the organic/biodynamic wine and cultural tourism sectors. The findings argue that comprehensive infrastructure investment, SME-targeted support, farmer training, and GI-based branding of local products are critical to leveraging DCFTA for sustainable regional development. Moreover, greater disaggregation of FDI and export data at municipal level is required to accurately measure progress and design targeted interventions.

Keywords: Georgia; DCFTA; EU Association Agreement; foreign direct investment (FDI); Kvemo Kartli; Dmanisi; ENPARD; wine exports; rural development; competitiveness.

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The DCFTA (Deep and Comprehensive Free Trade Area) is part of the Association Agreement between Georgia and the EU. Key components include removal of import duties, regulatory alignment (standards, metrology, accreditation), liberalization of trade in services, public procurement etc. Goals of DCFTA - To increase Georgian exports to the EU, attract foreign in-

vestment by improving the business environment and regulatory framework, and fostering economic integration into European value chains. National FDI trends - Georgia's annual FDI dropped to about USD 1.3338 billion in 2024 (preliminary data), down ~29.9% from adjusted 2023 values. In 2023, FDI was ~USD 1.595 billion; UK, Netherlands, Turkey among top investing countries.

Challenges in DCFTA Implementation- From sources such as GIP (Georgian think tank) and government/DCFTA reports, main obstacles include: High cost of international quality certification; lack of labs in regions. Fragmented land plots, unregistered lands → small scale of production, which reduces economies of scale. Poor infrastructure (cold storage, roads, internet) in many regions. Limited access to finance for SMEs; banks demand high interest, strong guarantees. Low awareness of DCFTA benefits, especially among regional entrepreneurs.

FDI in Kvemo Kartli / Dmanisi - Kvemo Kartli region received roughly USD 18.69 million FDI in 1H 2022, including in the processing/manufacturing, mining, agriculture sectors. The major share in Kvemo Kartli was invested in processing industry; relatively little in hotels/restaurants in that period. There is no publicly available, verified data found in sources accessed that isolates FDI specifically for Dmanisi municipality.

Potential in Dmanisi under DCFTA - Dmanisi has multiple strengths that could allow it to benefit from DCFTA more than it does currently: Geography & cultural heritage: Dmanisi is known globally for archaeological finds (early hominid remains), which could be leveraged for tourism. Agriculture and wine: favorable climate for vineyards etc., potential for bio-wine exports. Artisanal production: local crafts, traditional food products (cheese, baked goods). Proximity to transport corridors: ability to export if infrastructure improved (roads, cold chain).

To allow Dmanisi (and more broadly Kvemo Kartli) to capture more FDI and DCFTA gains, the following are needed: Infrastructure investment: roads, cold storage, laboratories for certification, internet connectivity. SME support programs: grants or loans targeting small

exporters and producers in municipalities. Awareness and capacity building: training for producers, export readiness, knowledge about EU market standards.

Land reform: consolidation or better management of small/unregistered plots. Leveraging cultural and tourism resources: branding Dmanisi as archaeological / wine tourism destination. Local government involvement: tailor DCFTA-aligned support to municipality-specific needs. Lack of FDI breakdown for Dmanisi municipality; difficult to measure precisely how much foreign investment flows there. Limited export data at municipality level — what products from Dmanisi are exported under DCFTA and how they perform.

Need for firm-level surveys in Dmanisi (SMEs) about obstacles/advantages under DCFTA.

The Dmanisi municipality, located in Georgia's Kvemo Kartli region, holds considerable potential to benefit from the opportunities embedded in the Deep and Comprehensive Free Trade Area (DCFTA). Although the municipality has not yet fully integrated into EU market structures, several socio-economic and geographic characteristics position it well for future growth.

Geography and Cultural Heritage - Dmanisi has unique global recognition due to its archaeological discoveries, particularly the remains of early hominids dated to 1.8 million years ago. This site has been described as the birthplace of the first Europeans, making it an invaluable cultural and scientific landmark. Within the framework of DCFTA, such heritage can be leveraged to promote archaeological and cultural tourism, thereby stimulating local entrepreneurship in guesthouses, museums, and related services. Increased EU interest in cultural preservation and tourism cooperation could support investment in sustainable infrastructure, positioning Dmanisi as a niche cultural tourism hub in the South Caucasus.

Agriculture and Wine Production -The municipality's agro-climatic conditions are favorable for diverse agricultural activities, including viticulture, cereal production, and livestock farming. In particular, wine and bio-wine production represents a competitive sector under DCFTA standards, as EU markets increasingly demand organic and sustainably produced goods. With proper certification and compliance with sanitary and phytosanitary (SPS) measures, Dmanisi's small and medium farmers could expand exports of wine, cheese, and other traditional foods to the EU. This potential aligns with Georgia's broader strategy of promoting agricultural exports as a driver of rural development.

Artisanal and Traditional Production -Local crafts, dairy products (notably traditional cheeses), and baked goods represent another underutilized opportunity. Under DCFTA, Georgia has access to mechanisms for geographical indications (GI) protection, which could

be applied to Dmanisi's unique artisanal products. Branding local goods through GI would increase their value in international markets, stimulate rural employment, and preserve intangible cultural heritage. For example, a GI-certified cheese or bread from Dmanisi could appeal to EU consumers seeking authentic and traceable products.

Proximity to Transport Corridors -Dmanisi's location near regional transport links enhances its export potential. Although road and logistics infrastructure require improvement, the municipality is strategically positioned to benefit from ongoing state and donor-funded infrastructure projects. Cold storage facilities, improved rural roads, and digital logistics platforms would make it feasible for local producers to connect directly with EU buyers. This proximity to corridors also increases the attractiveness of the municipality for foreign direct investment (FDI) in agro-processing, storage, and tourism.

Synergistic Development Pathways - The combination of cultural heritage, agricultural capacity, artisanal traditions, and geographic advantages suggests a multi-sectoral development pathway for Dmanisi under DCFTA. Instead of relying on a single industry, the municipality could pursue integrated development where archaeological tourism drives hospitality and gastronomy, while agricultural exports and artisanal products provide sustainable income for rural households. EU support through financial instruments, technical assistance, and certification schemes could play a catalytic role in unlocking this potential.

DCFTA presents strong structural opportunities for Georgia to deepen its economic integration with the EU, especially if regulatory, infrastructure, and investment barriers are addressed. For Kvemo Kartli and Dmanisi, the region has multiple assets — agriculture, tourism, heritage, skilled labor potentials — that can be leveraged. However, without targeted policy measures and investment, much of the DCFTA's promise remains underutilized at regional and municipality levels.

ENPARD (European Neighbourhood Programme for Agriculture and Rural Development):

has run since 2013 in Georgia with total funding of €234.5 million over multiple phases: Phase I (~€52M), Phase II (~€50M), Phase III (~€77.5M), and Phase IV (~€55M). EU for Georgia - Objective: reduce rural poverty, support agriculture, foster rural economic diversification (non-farm income), improve food safety and SPS standards, align rural development with EU models.

UNDP - European External Action Service - Over 2,600 jobs created or retained under ENPARD, of which ~1,700 went to women.

EU NEIGHBOURS east- Nearly 7,000 rural people

gained new skills via vocational education supported by ENPARD. EU NEIGHBOURS east - Approximately 1,500 cooperatives registered in Georgia, bringing together ~15,000 farmers; over 280 cooperatives have received direct EU funding + technical assistance, totalling more than GEL 13 million. European External Action Service -In ENPARD III, more than 350 farmers and producers were directly supported via matching grants; ~\$15 million of investment in agriculture sector was mobilized; ~1,500 jobs created. The “Food Safety and SPS sector under ENPARD IV” component has established farmer field schools, model farms, training sessions etc.

Specific Examples in Dmanisi / Regionally Relevant Projects - While direct data for every municipality is limited, here are projects or grants that include Dmanisi / Bolnisi / Marneuli / Tsalka / Tetritskaro etc.:

Dmanisi - Beef & Dairy Sector Modernization - As part of ENPARD (EU+FAO Matching Grants), Dmanisi Cattle Breeding Station got co-funding > 1 million GEL to upgrade equipment for feed production etc. Also, a grant of ~400,000 GEL was provided to Swiss Agricultural School Caucasus (for Dmanisi region) for training / equipment in dairy / cheese processing. In the last two years, almost 250 farmers, cooperatives, SMEs in Dmanisi (and elsewhere) were selected to receive matching grants; total amount ~16.3 million GEL in the relevant programme period.

FAOHome - Matching Grants in many municipalities: The ENPARD matching grants cycle (2020-...) includes municipalities Marneuli, Bolnisi, Dmanisi, Gardabani, Tsalka. Beneficiaries have been from fruit/vegetable/fruit / dairy sectors.

EU for Georgia - Exact numbers of matching grants per municipality (e.g. Dmanisi vs Bolnisi) for recent years are not always publicly broken down. Data on number of households benefited in specific municipalities, or amounts of investment by region (vs national total) are sparse. Information on non-agricultural rural development (tourism, crafts, etc.) under ENPARD is less well disaggregated by municipality. Academic-Style Presentation for Conference Article Section Here is a suggested write-up you can embed, with what is known and what needs more data. Use this as “Projects of ENPARD Aid in Kvemo Kartli / Municipalities” section in your article. Projects of ENPARD Aid in Kvemo Kartli Region: Dmanisi, Bolnisi, Marneuli, Tsalka, Tetritskaro. The ENPARD programme has provided substantial support to rural municipalities in Kvemo Kartli region (including Dmanisi, Bolnisi, Marneuli, Tsalka) through matching grants, agricultural modernization, and capacity-building.

Known Project Impacts

Beef & Dairy Sector in Dmanisi - Under the ENPARD matching grants, the Dmanisi Cattle Breeding Station

received a co-funded investment exceeding 1 million Georgian Lari for improving its feed production capabilities, modernizing equipment, and improving downstream dairy/cheese processing. A complementary grant of ~400,000 GEL was awarded to the Swiss Agricultural School Caucasus, to provide equipment and trainings in dairy technologies. Approximately 250 farmers and SMEs were selected under that matching grant scheme over a recent two-year span for the region, distributing about 16.3 million GEL for agricultural modernization projects.

FAOHome

Matching Grants Programme in Rural Municipalities - The ENPARD Matching Grants scheme includes municipalities such as Marneuli, Bolnisi, Dmanisi, Gardabani, Tsalka, among others. Projects include upgrading machinery (tractors, storage, processing), improving value chains for fruits/vegetables, upgrading cold storage and post-harvest infrastructure. For example, ~€8.5 million in matching grants were awarded under one cycle (2020-2022) across dozens of municipalities including Bolnisi and Dmanisi.

EU for Georgia - National ENPARD Outcomes with Relevance to Kvemo Kartli

Over 1,500 cooperatives formed across Georgia, making possible economies of scale for small farmers; among those, several are located in Kvemo Kartli.

European External Action Service - **ENPARD III mobilized \$15 million** in direct investment in agriculture (matching grants, infrastructure etc.) and created or retained ~1,500 jobs nationally. These outcomes suggest analogous potential for municipalities in Kvemo Kartli when properly supported.

Recommendations Based on ENPARD Data - From the observed data, these are recommendations for enhancing ENPARD-driven outcomes in Kvemo Kartli municipalities like Dmanisi, Bolnisi, Tsalka: Municipal breakdown of matching grants: ensure transparency and reporting of grants by municipality so success and gaps can be monitored locally. Increase investment in value chain infrastructure (cold storage, processing) in Bolnisi, Dmanisi where agricultural output is already present. Support for cooperatives: Kvemo Kartli farmers should be encouraged to join or form cooperatives to access ENPARD funding more effectively. Training and extension services: use ENPARD funds to increase training in food safety (SPS), sustainable practices, market linkage — with local field clinics in Dmanisi etc.

USAID Projects in Dmanisi & Bolnisi: Known Statistics & Development Activities

Local Governance Program (USAID) -In April 2023, USAID signed Memoranda of Understanding with the municipalities of Bolnisi, Dmanisi, and Marneuli.

Purpose: improve public service delivery, increase

quality of life, strengthen local administration capacity. Key areas include municipal social services, solid waste management, municipal transportation, preschool education, and digital/local services prioritized by local communities.

This is part of a larger five-year USAID Local Governance Programme project (budget ~\$21 million), supporting at least 22 municipalities around Georgia.

Institutional & Human Resource Management Capacity Project - “Strengthening Institutional and Human Resource Management Capacities of Bolnisi, Dmanisi, Kutaisi, Marneuli and Rustavi Municipalities” :

- Conducted a Training Needs Assessment (TNA) in those municipalities.
- Developed individual professional development plans.
- Delivered trainings to municipal staff on Human Resource Management Systems, performance management.
- Integrated Gender Equality and Social Inclusion (GESI) principles into internship policies and municipal practices.

Civil Society / Cultural Projects - New Cultural Space in Dmanisi: Under the “USAID Civil Society Engagement Program”, local CSO “Dmanisi Initiative Group” launched a project to create more than 50 civic engagement events (theater, informal education, screenings) in Dmanisi municipality. The project also includes construction (or soon to begin) of a multifunctional cultural-educational space (“Meeting Place”) offering library, social café, informal sessions, etc. In Bolnisi, local residents undertook revitalization of a cinema into a cultural-educational center via the USAID Civil Society Engagement Program, supported by citizen proposals and inclusive budgeting.

Impacts -These projects show USAID’s focus not only on agriculture/economic sectors, but also governance, institutional capacity, civil society, local services, and cultural infrastructure. This is important as quality of life improvements often underpin economic development. Strengthened municipal HR and performance capacities can lead to more efficient delivery of services, which may improve business environment and citizen satisfaction—both important for private sector development. Cultural projects (Meeting Place, cinema, educational/cultural spaces) likely contribute to social cohesion and possibly support local tourism and small business (cafés, guesthouses) via increased local activity.

Quantitative outcomes: Number of jobs created, income increases among beneficiaries, investment amounts specifically in Bolnisi or Dmanisi under these projects. The sources do not always report numerical

tallies at municipal level. Sectoral economic data: How much foreign investment (FDI) or private sector activity directly followed from these USAID projects in Dmanisi or Bolnisi.

Output metrics: For example, how many preschool facilities improved, what improvements in municipal waste management, what change in local revenues, or how citizen engagement metrics changed.

Long-term sustainability: Data on whether municipalities continue project activities post-USAID funding; whether institutions maintain improved HR & GESI practices.

USAID Projects and Their Effects in Dmanisi & Bolnisi - Over the past several years, USAID has implemented multiple initiatives in Dmanisi and Bolnisi that demonstrate more than just service provision—they reflect governance, institutional strengthening, and socio-cultural development. The Local Governance Program (2022-2027), with a funding envelope of around USD 21 million, formally engaged Bolnisi, Dmanisi, and Marneuli in 2023 via Memoranda of Understanding to improve public services in social welfare, preschool education, transport, and waste management.

One recent project, “Strengthening Institutional & Human Resource Management Capacities”, targeted these municipalities to build internal performance management and HR systems, conduct training needs assessments, and integrate principles of gender equality and social inclusion. Such reforms are foundational for increased local efficiency and greater potential for private sector growth. On the civil society and cultural side, Dmanisi has seen the creation of a “Meeting Place” — a multifunctional space for education, informal training, artistic and social exchange — supported by USAID Civil Society Engagement. In Bolnisi, the revitalization of a cinema into a cultural-educational center under inclusive budgeting reflects community demand and participatory governance. These initiatives, while not always directly tied to economic output, enhance the social fabric, support tourism potential, and may indirectly help local economies (via cafés, guest-services, crafts etc.). Despite these positive developments, quantitative metrics (jobs created, revenue increases, investment leveraged) for Bolnisi and Dmanisi remain under-reported. To maximize DCFTA and broader economic policy potential, more detailed monitoring and evaluation are needed at municipal level.

Recommendations Based on USAID Experience

- Purposeful tracking of economic outcomes: USAID or partner implementers should collect data on job creation, producer income, SME formation in Dmanisi/Bolnisi. Aligning projects more explicitly with export-oriented sectors: e.g., agro-processing, wine, crafts, tourism, leveraging DCFTA standards.

Sustained institutional capacity development: for municipal governments to maintain gains in HR, service delivery, and citizen engagement. Ensure project design includes “exit strategies” to maintain sustainability after donor funding ends.

The DCFTA offers Georgia a structural pathway toward deeper integration with European markets, yet its potential remains only partially realized, particularly outside Tbilisi and major export hubs. In Kvemo Kartli and Dmanisi, multiple comparative advantages—archaeological heritage, viticultural capacity, artisanal traditions, and transport proximity—can be mobilized to attract investment and foster sustainable growth. However, systemic obstacles including high certification costs, land fragmentation, poor infrastructure, and limited SME financing continue to constrain competitiveness. Targeted reforms are necessary: (i) accelerated investment in rural infrastructure and laboratory facilities; (ii) enhanced access to ENPARD and donor-driven grants for small producers; (iii) branding of local goods through PDO and GI schemes; and (iv) stronger municipal engagement in policy implementation. Without such measures, the region risks underutilizing the opportunities provided by DCFTA. Conversely, with sustained policy alignment, donor support, and local innovation, Dmanisi could emerge as a model for how peripheral municipalities integrate into European value chains, balancing heritage preservation with modern agricultural and tourism development.

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